

IMPACT OF COVID-19 ON MSMES IN KENYA

IMPACT OF COVID-19 ON MSMES
ASSESSMENT REPORT



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Department of
Economic and
Social Affairs



Micro and Small Enterprises
Authority (MSEA)

- 
- I. Context and objective of the survey
- II. Impact on business operations
- III. MSMEs coping mechanisms
- IV. Business formalization
- V. Recommendations



Context and objective of the assessment report

Context

- Micro-small, and medium-sized enterprises (MSMEs) are the economic backbone in Kenya, comprising majority (98 per cent) of all the business entities (registered and non-registered) in the country.
- These MSMEs generate about a third (30 per cent) of job opportunities and contributes approximately 40 per cent to the GDP in Kenya annually. However, the sector remains highly informal as only 20 per cent of the 7.4 million MSMEs operate as licensed entities.
- During the COVID-19 period, majority of the youth and women led MSMEs operations were affected differently by COVID-19 measures to a point of temporary closure or permanent closure for non-essential enterprises. This report summarizes the impact in Kenyan Context

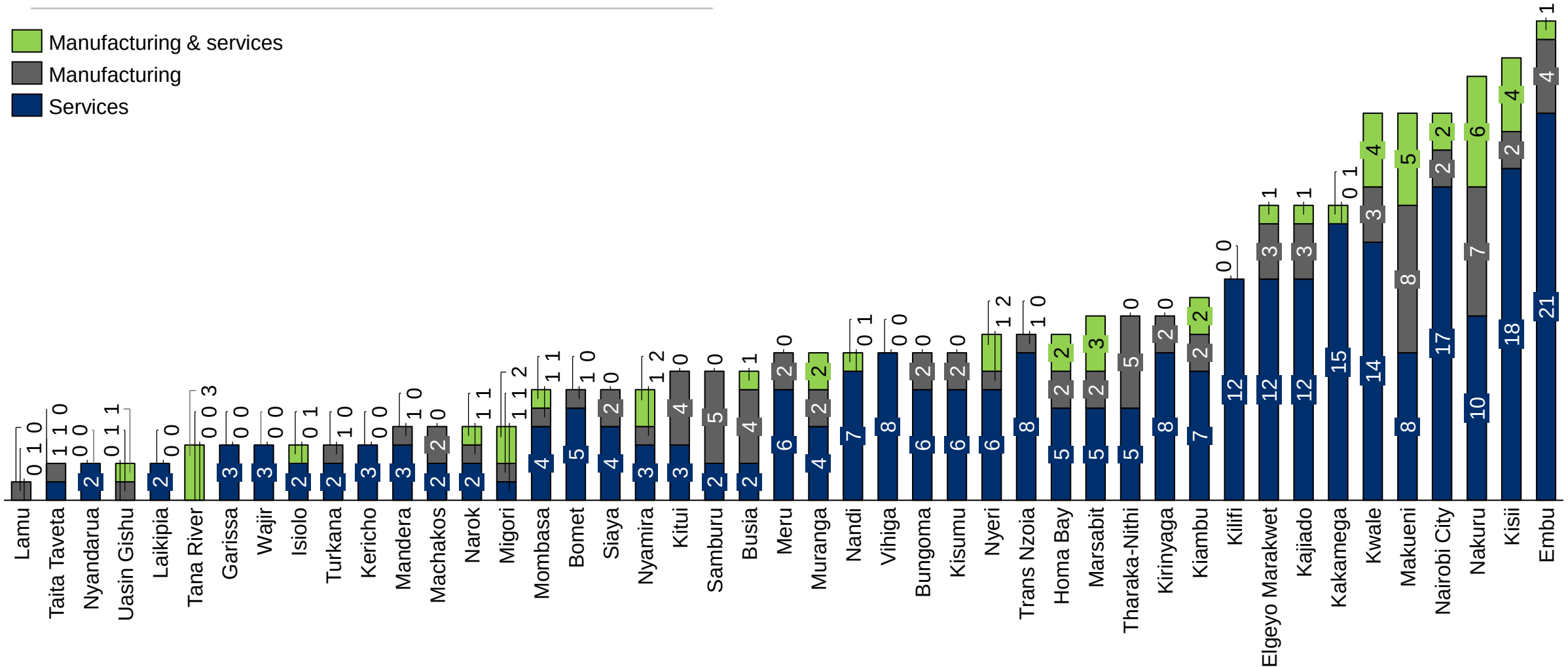
Objective

- The core objective of this report is to create a national overview using survey data collected on 400 MSMEs in the country in 2022 through an independent consultant
- Input of this report will be used to assess the COVID-19 impact, the challenges, gaps and opportunities present in Kenya's
- The report is organised in such a way that it responds to the questions:
 - How were youth and women led MSMEs affected by Covid?
 - What coping mechanisms did MSMEs employ against COVID-19
 - Was formalization key in receiving government support?



The sample was spread across the Country; Embu county was leading in the number of sampled MSMEs while Lamu County had the least

Business Profile



*West Pokot and Barigo Counties were not included in the sample



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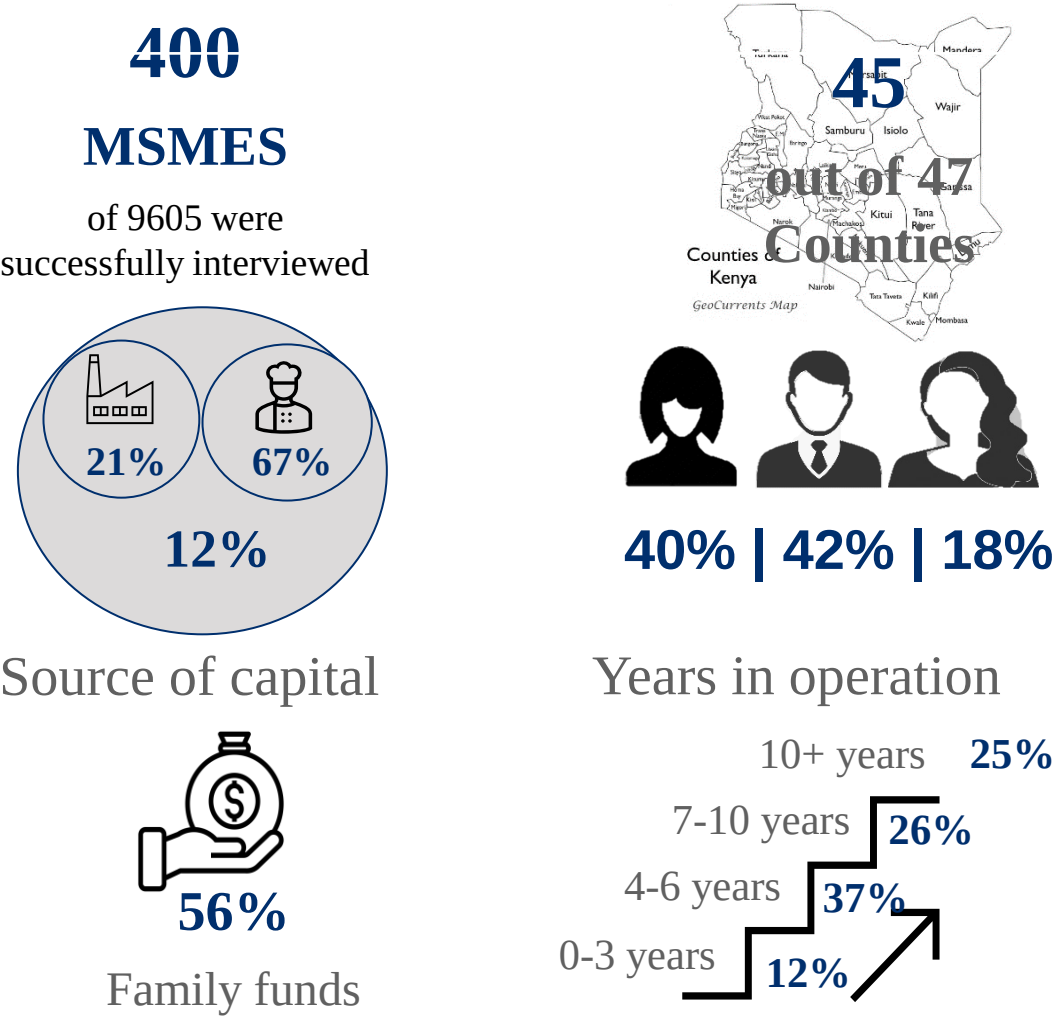
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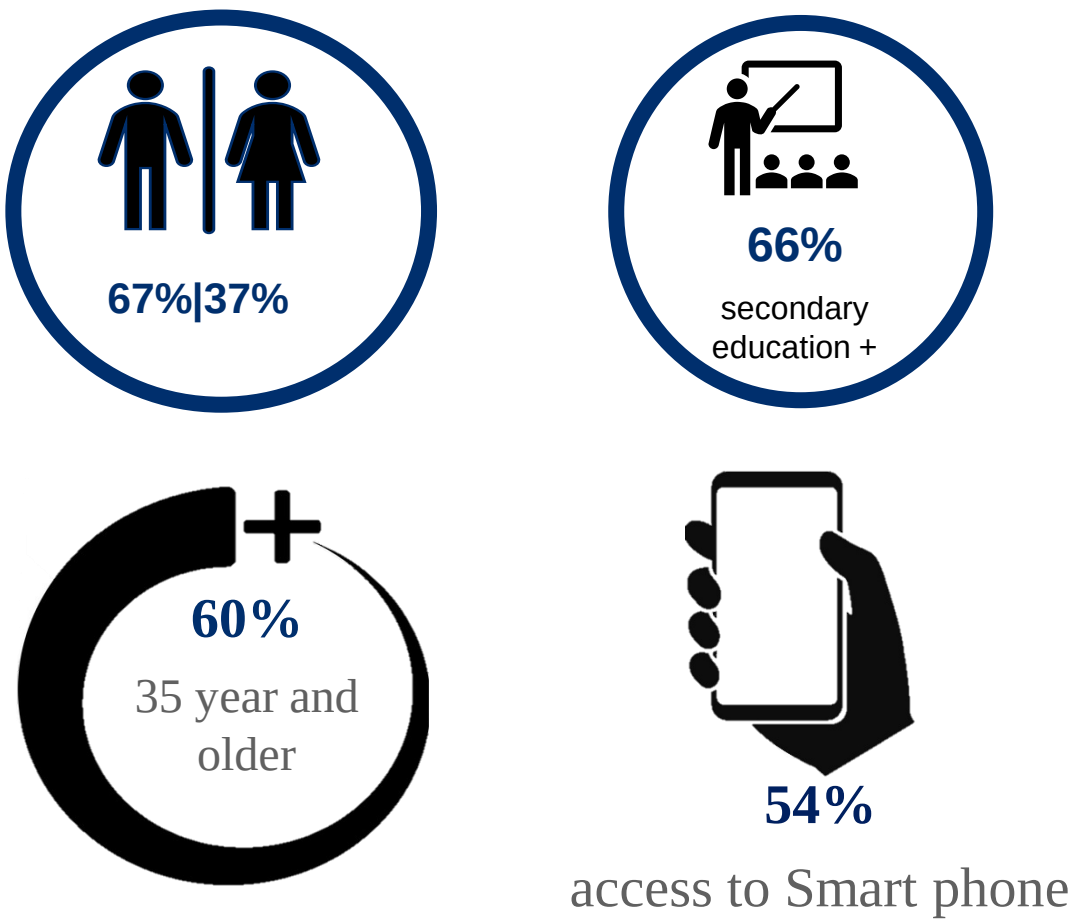
Micro and Small Enterprises Authority (MSEA)

Survey Demographics Profile

Business Profile



Business Leaders Profile



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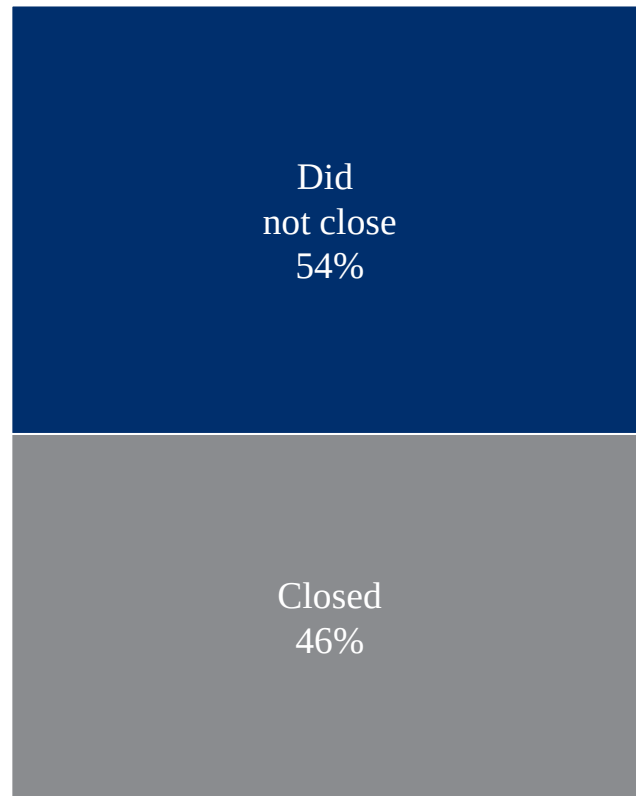


Micro and Small Enterprises
Authority (MSEA)

Close to half of the MSMEs closed business and took more than one year to resume business

Proportion of businesses that closed temporarily

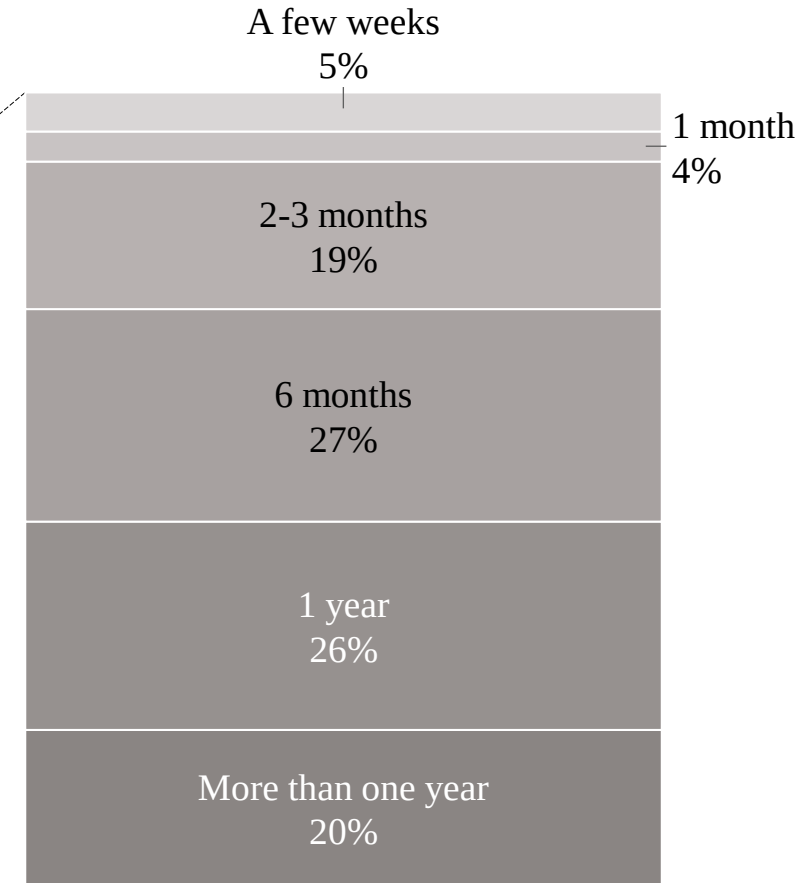
Proportion of businesses that closed temporarily during Covid period (2022)



Business temporary closed

Period of businesses closure

Period businesses temporarily closed during Covid period (2022)



Period of closure



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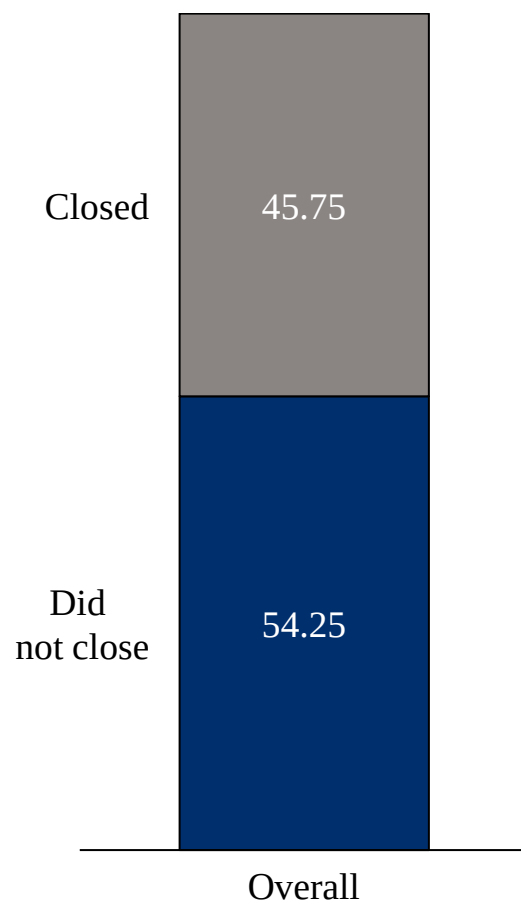


Micro and Small Enterprises
Authority (MSEA)

More women led businesses closed as compared to those led by youths or men

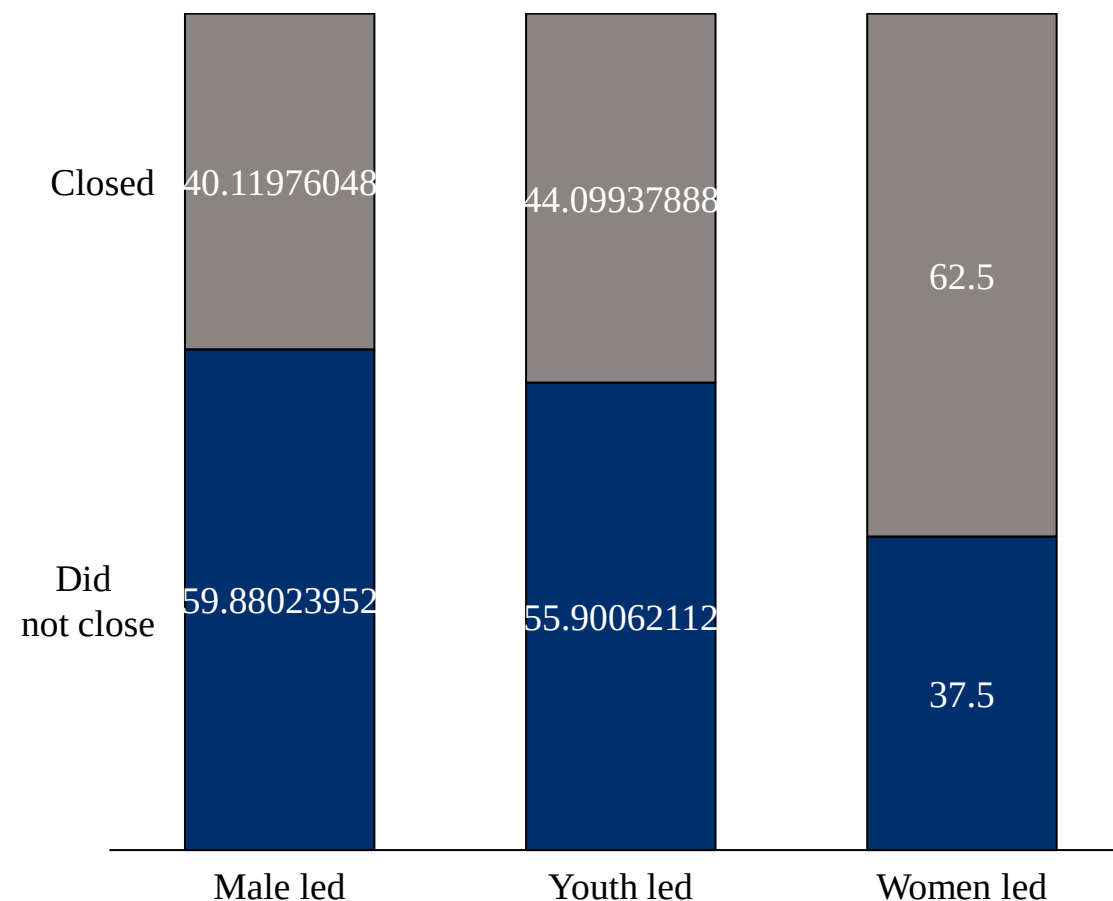
Businesses that closed temporarily

Proportion of businesses that closed temporarily during Covid period (2022)



Businesses that closed by type of leadership

Proportion of businesses that closed by business leadership during Covid period (2022)



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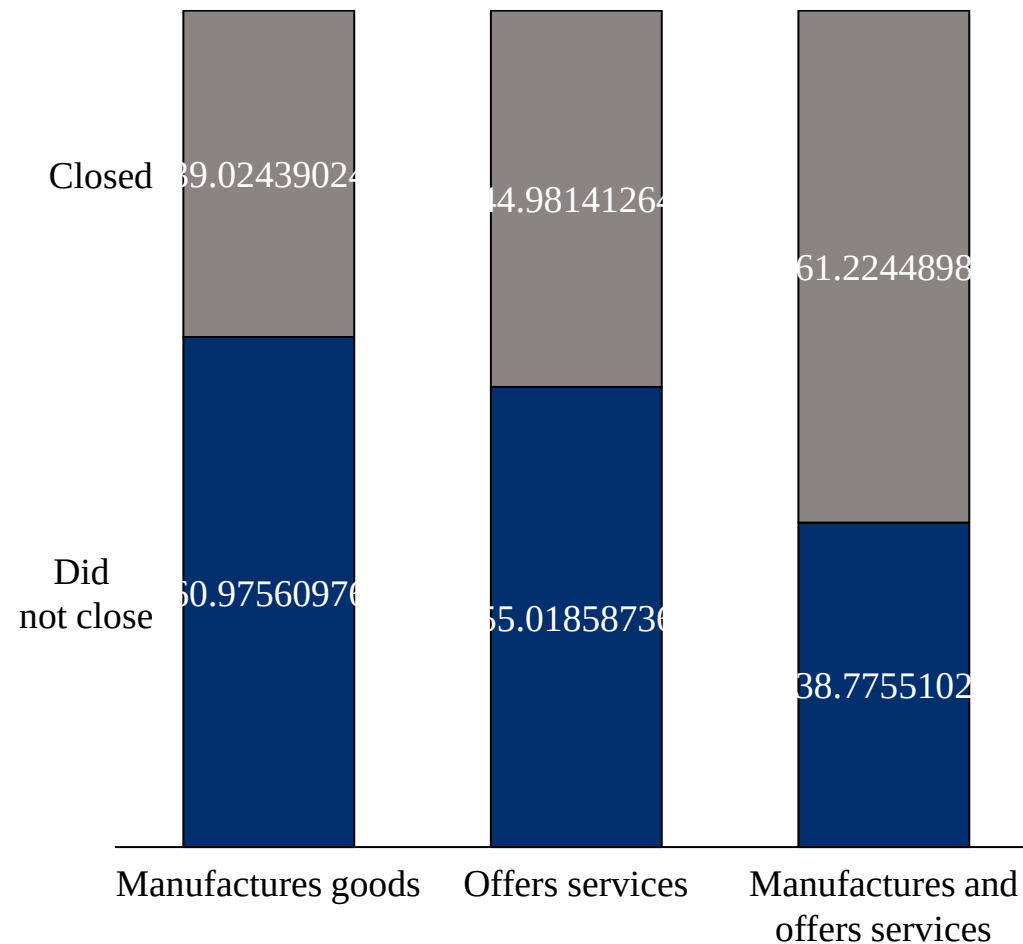


Micro and Small Enterprises Authority (MSEA)

Across the two sectors, those who purely offered services were more affected than the manufacturers though they resumed faster with 60% resuming in half a year

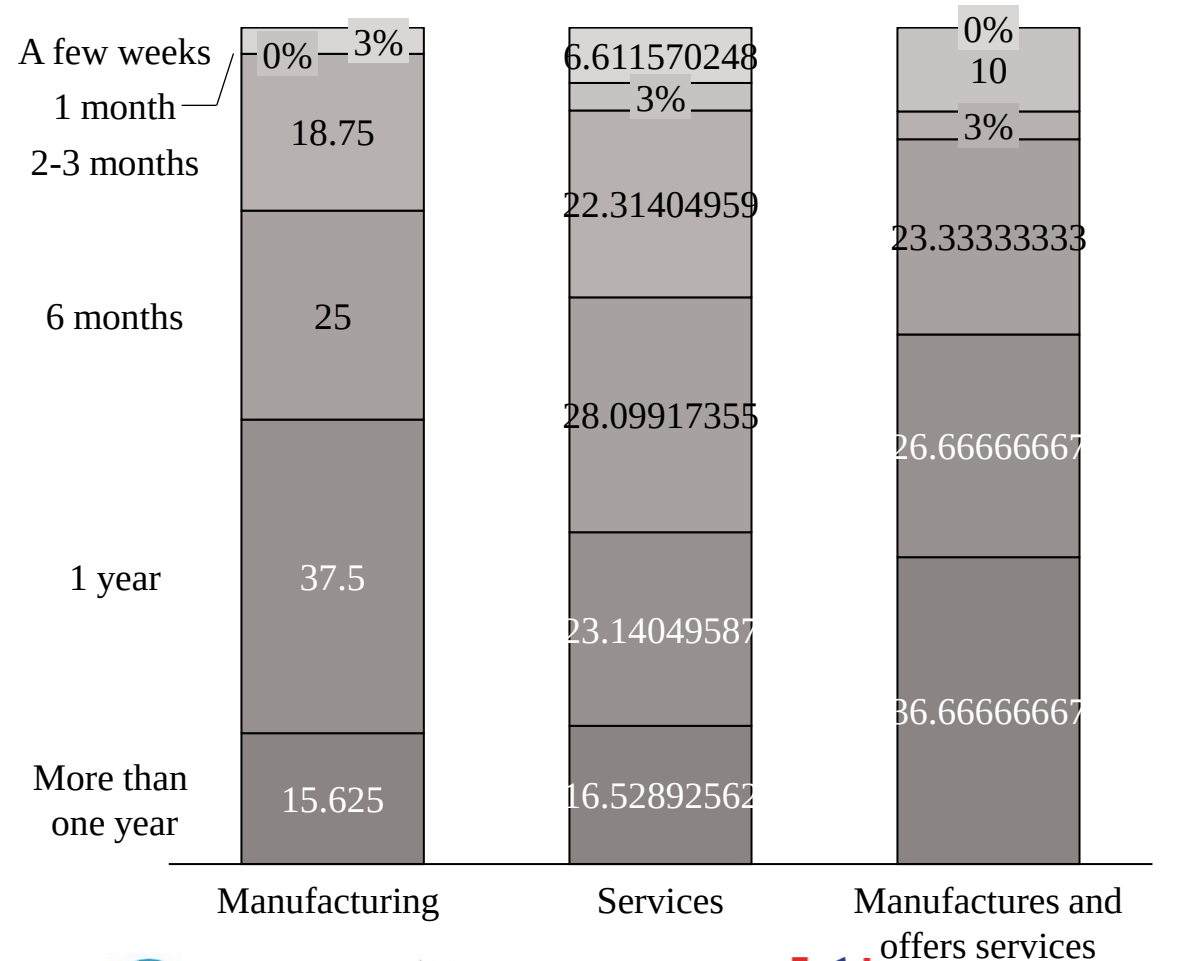
Businesses that closed temporarily by sector

Proportion of businesses that closed temporarily by sector



Businesses that closed by sector

Proportion of businesses that closed by sector during the Covid period (2022)



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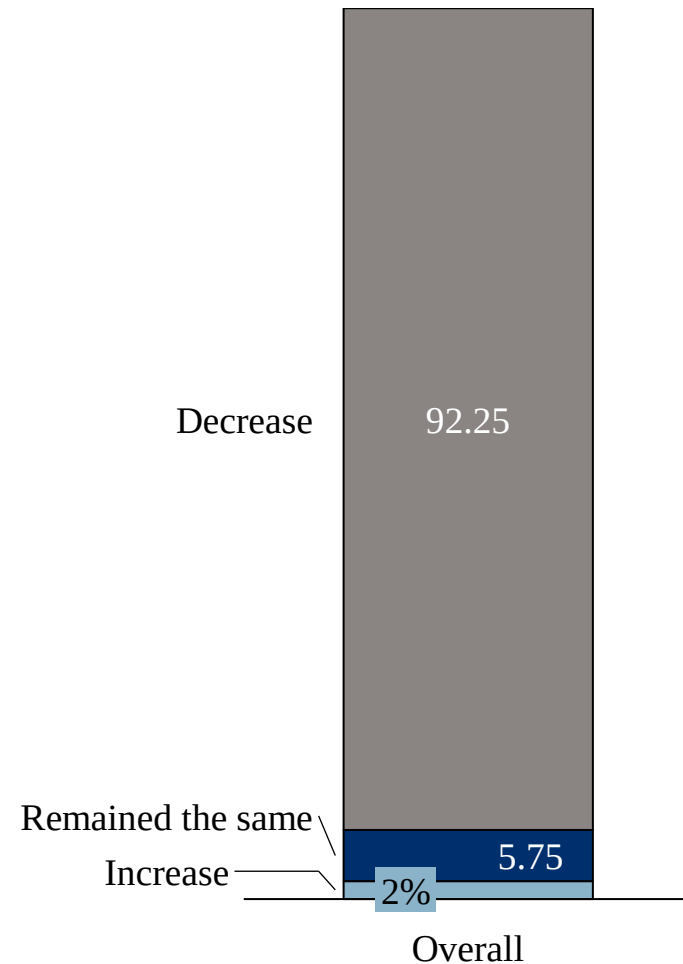


Micro and Small Enterprises
Authority (MSEA)

This closure of MSMES led to scale down in the size of operations in majority of the business, though a few youth led businesses increased their operations

Change in the size business operations

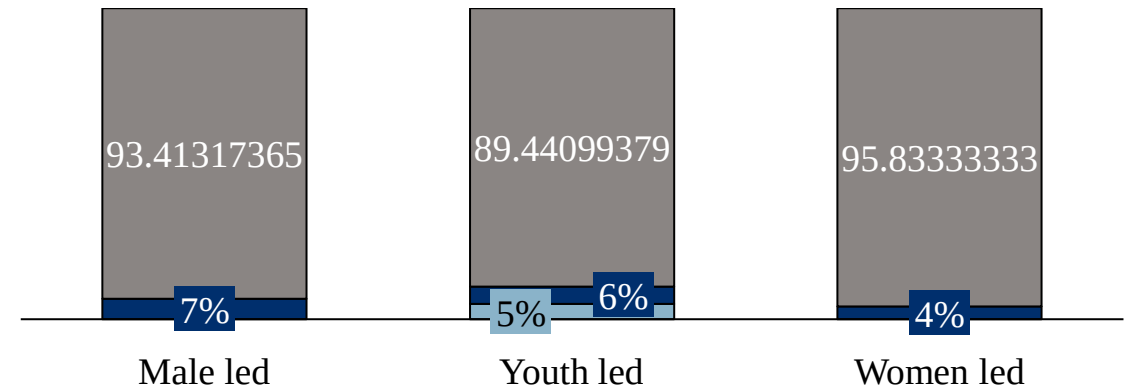
Proportionate change in size of operations among MSMES (2022)



Though there was a decrease in the size of operations across all sectors, this change was not different across the sectors

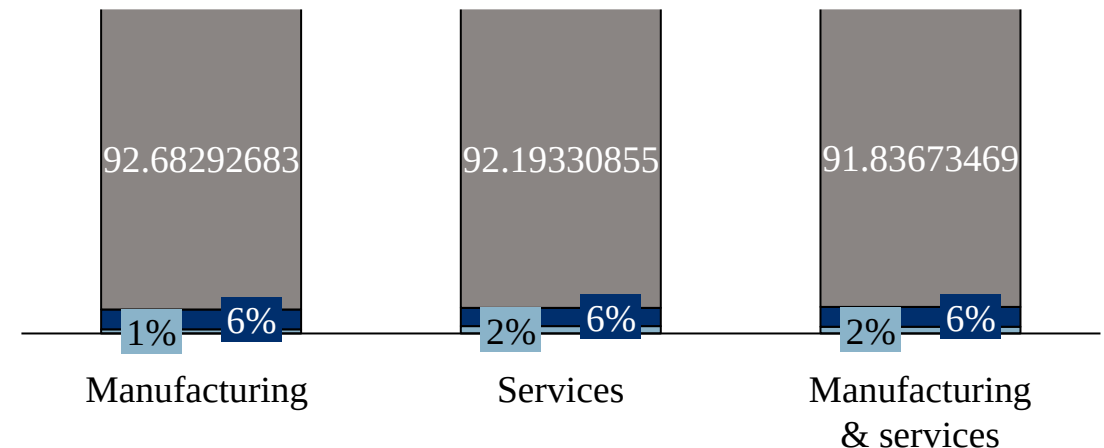
Change in the size of business operations by type of leadership

Proportionate change in size of business operations by type of business leadership



Change in the size of business operations by sector

Proportionate change in size of business operations by sector



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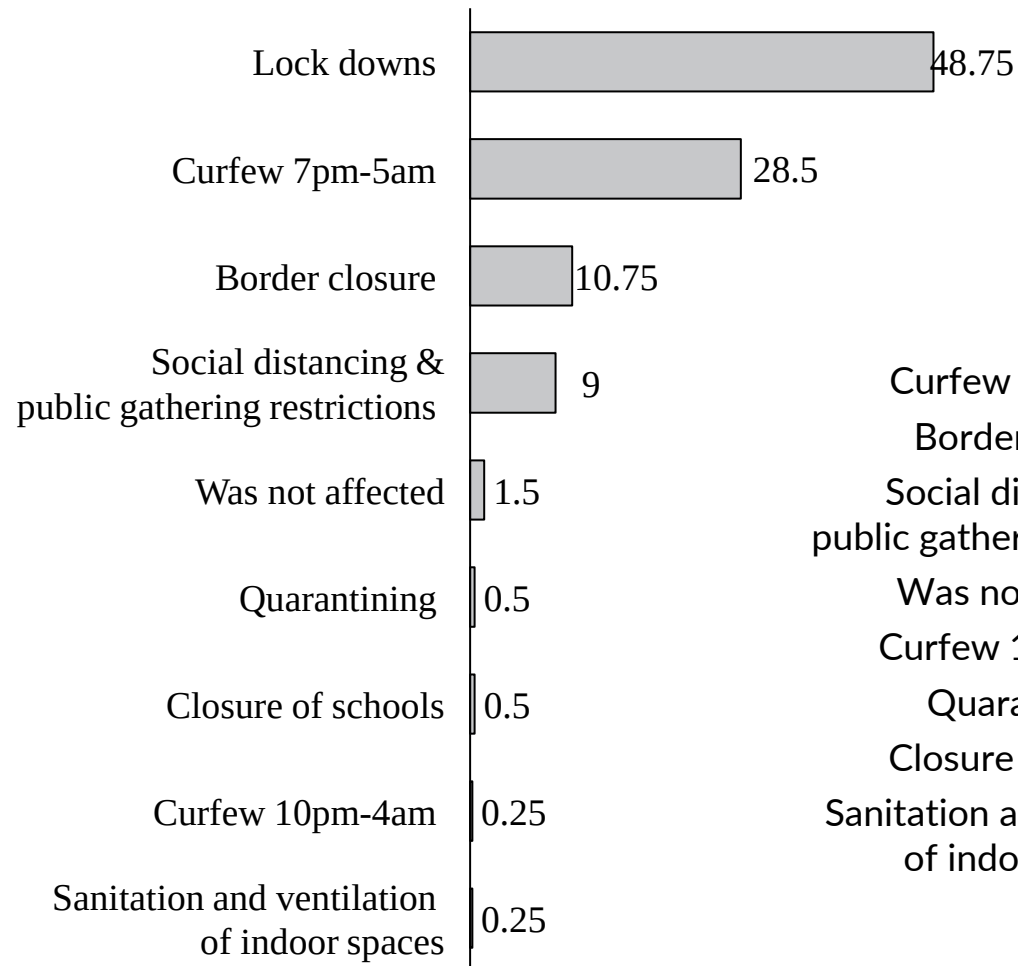


Micro and Small Enterprises Authority (MSEA)

More business were highly affected by lockdowns; youth led businesses were less affected by lockdowns as compared to the others

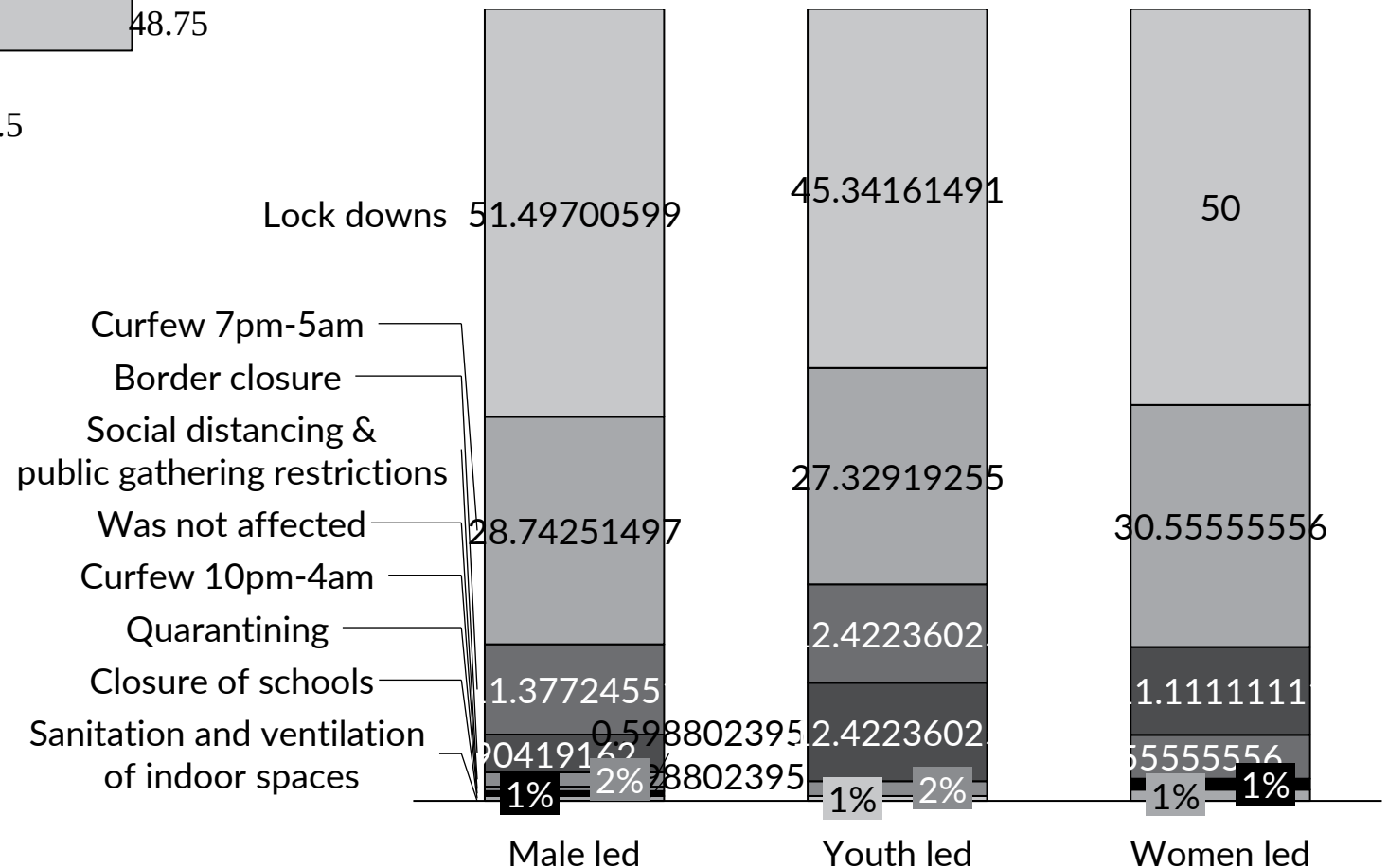
Covid measures that highly affected business

Proportion businesses adversely affected by each covid measure (2022)



Covid measures that affected MSMEs by type of leadership

Proportion of MSMEs affected per covid measures by type of business leadership, 2022



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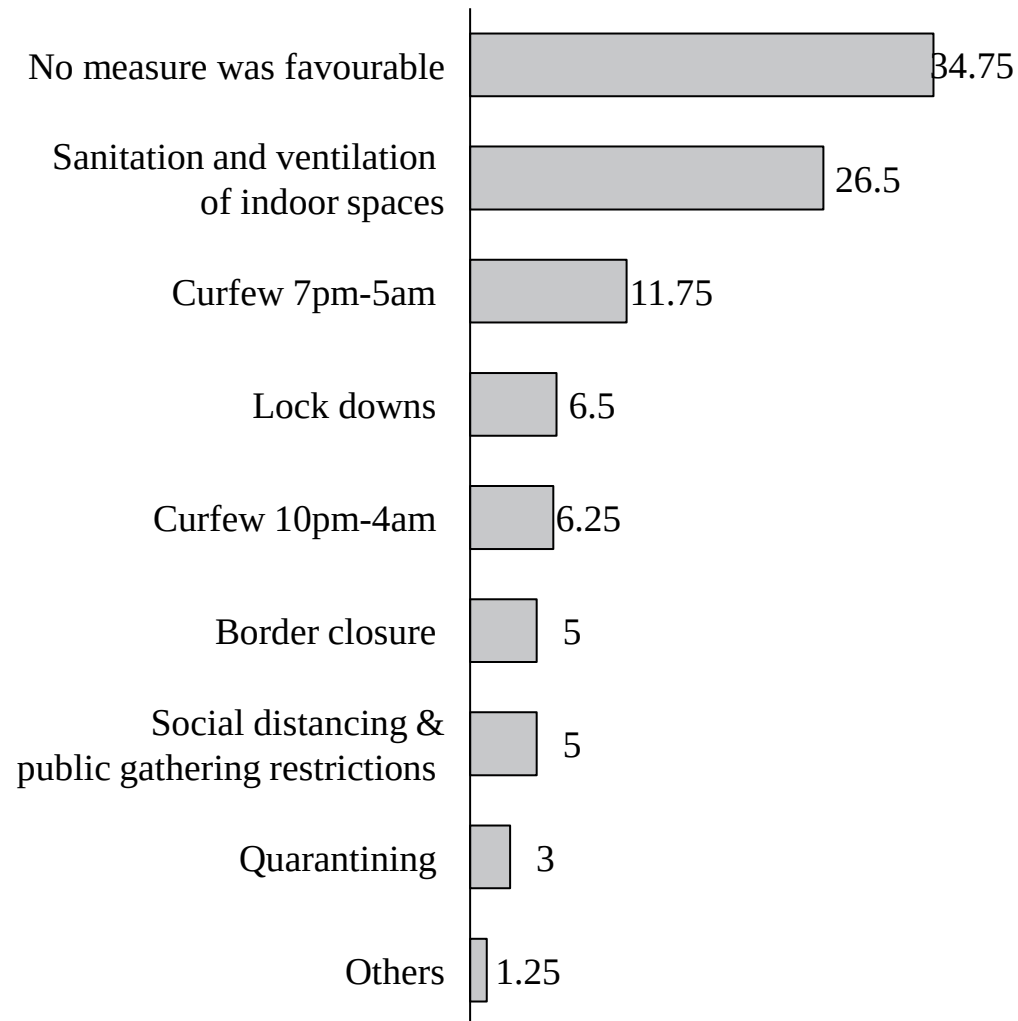


Micro and Small Enterprises
Authority (MSEA)

While COVID measure had adverse effects, more than a quarter of the businesses believe they benefited from sanitation and ventilation measures

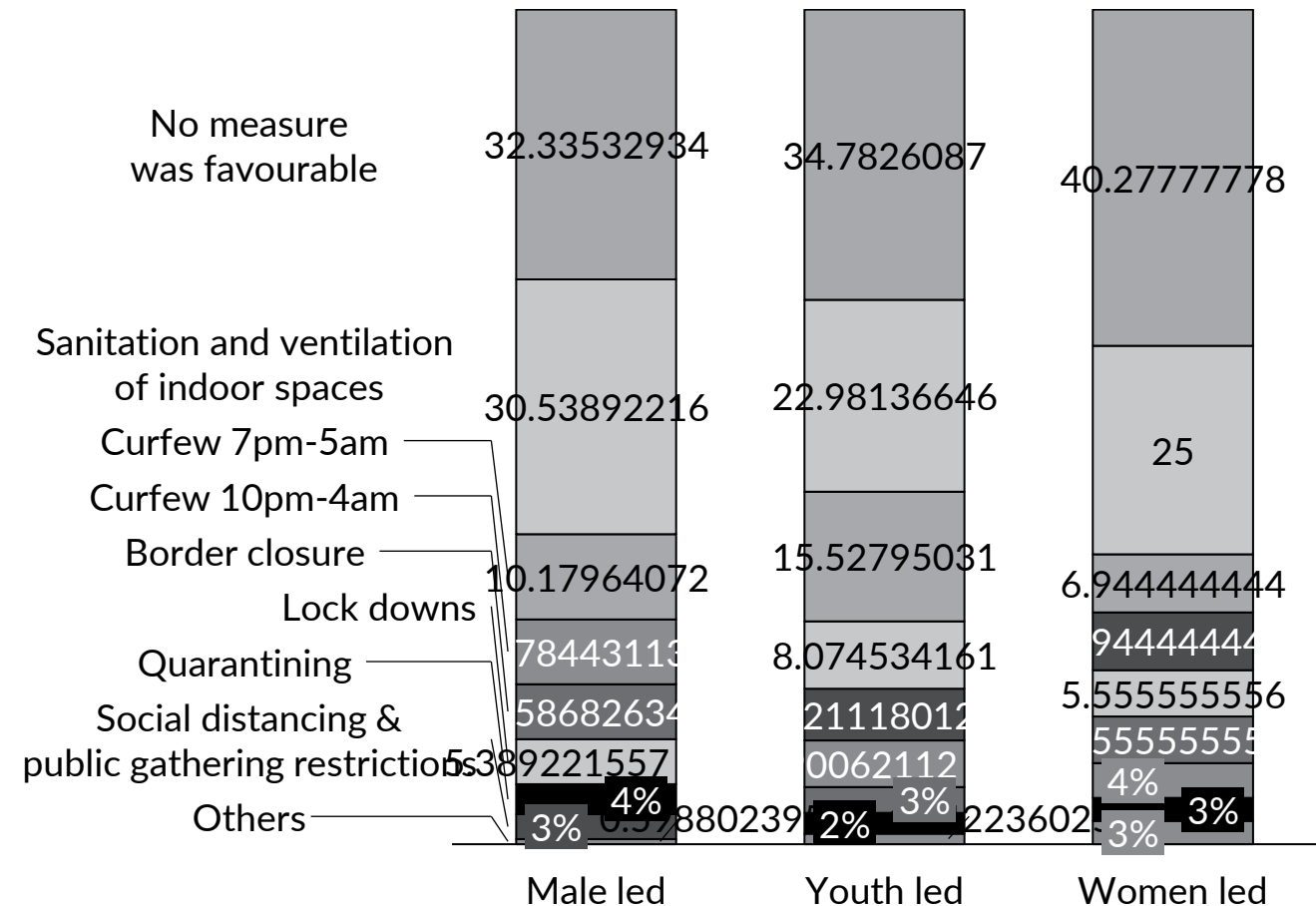
Covid measures that elevated business operations

Proportion businesses elevated by covid measure (2022)



Covid measures that elevated MSMEs by type of leadership

Proportion of MSMEs elevated per covid measures by type of business leadership, 2022



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Micro and Small Enterprises
Authority (MSEA)

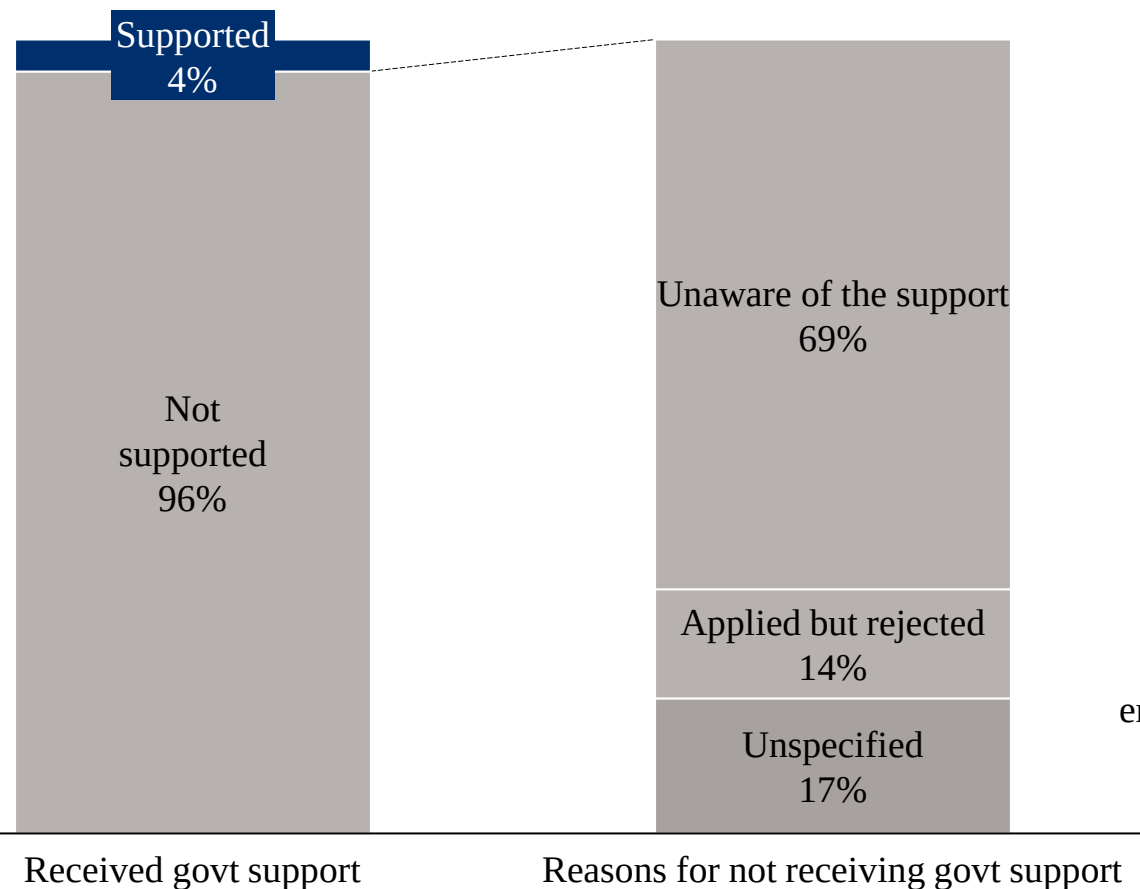
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While majority of the MSMEs did not receive govt support, they were not aware of the support; cash or food were the most common govt support received

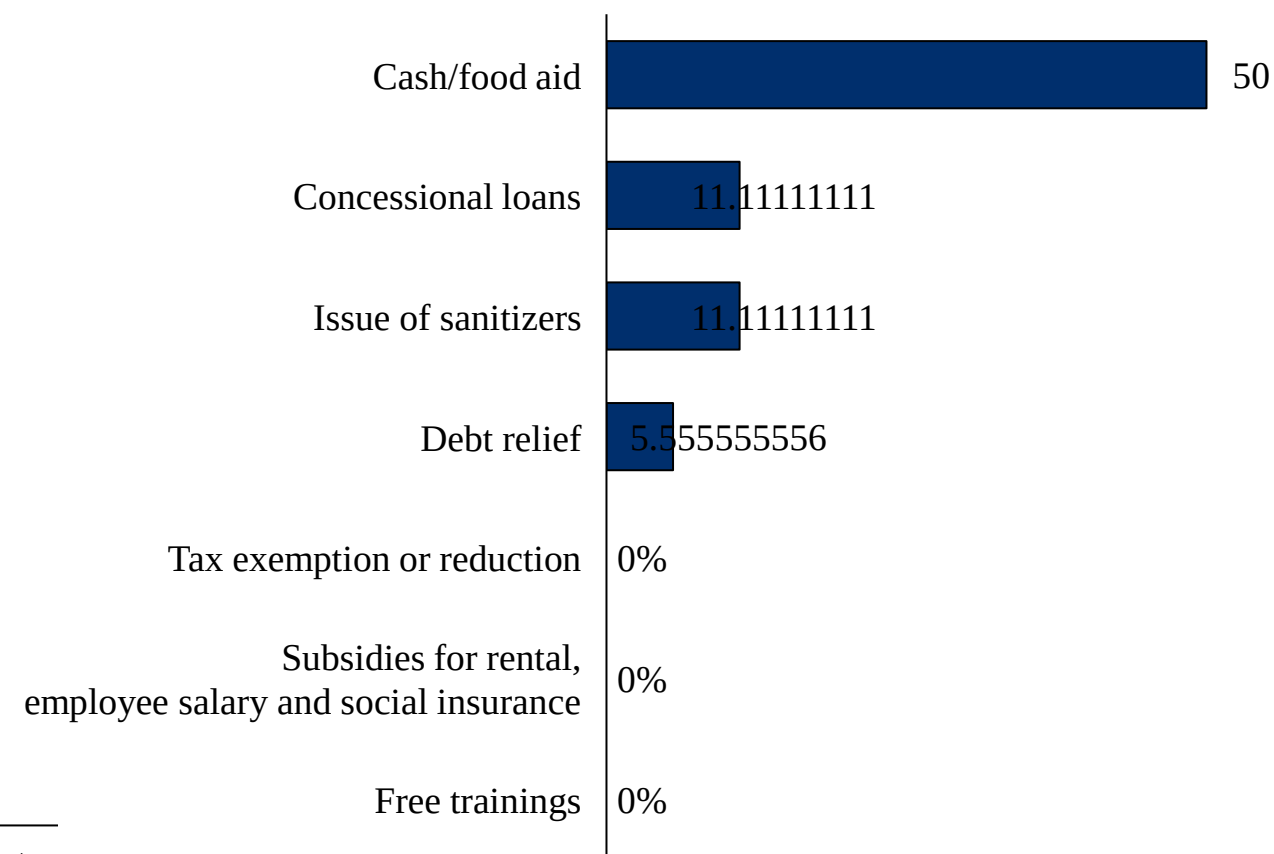
Businesses that received direct government support

Proportion of MSMEs that received govt support during Covid period (2022)



Type of government support received by MSMEs

Proportion of businesses that received different govt support (2022)



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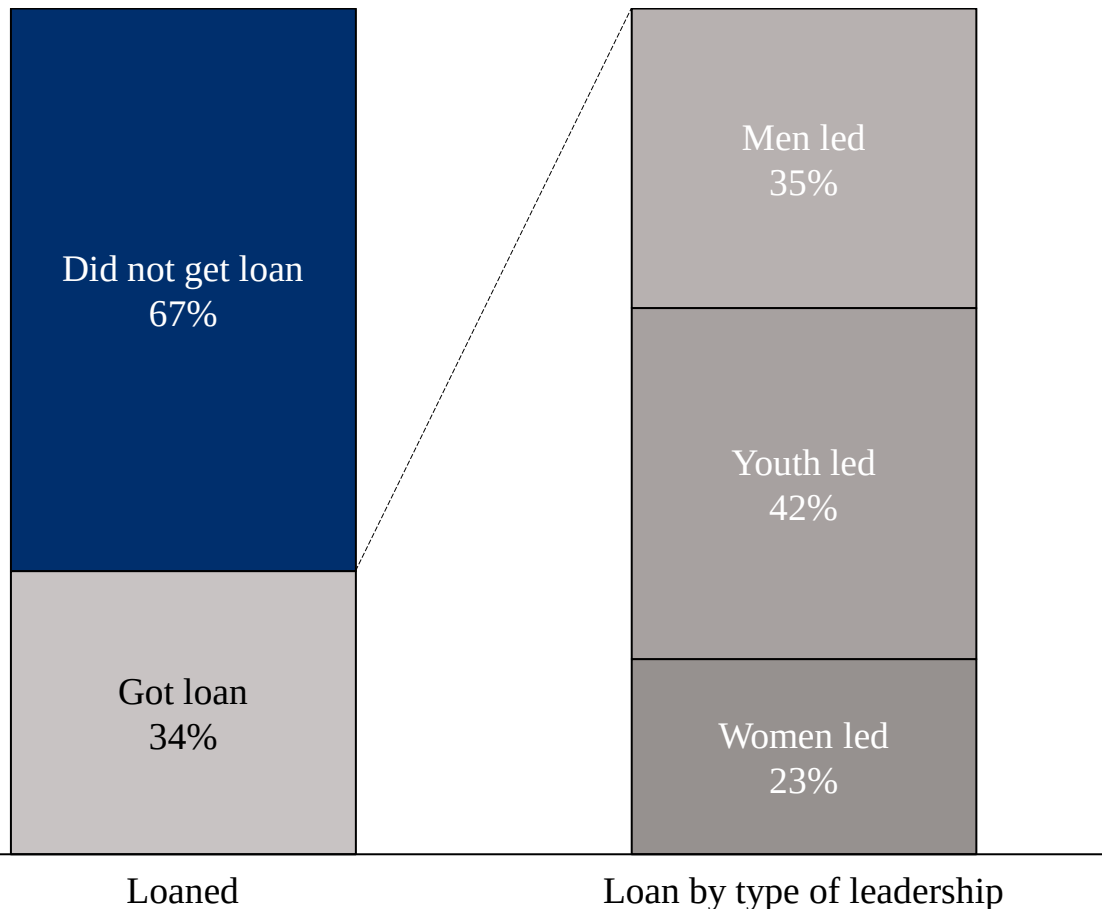


Micro and Small Enterprises Authority (MSEA)

On finance, a third of the MSMEs took loans to boost business; more youth led MSMEs as compared to women or men led MSEs took the loans

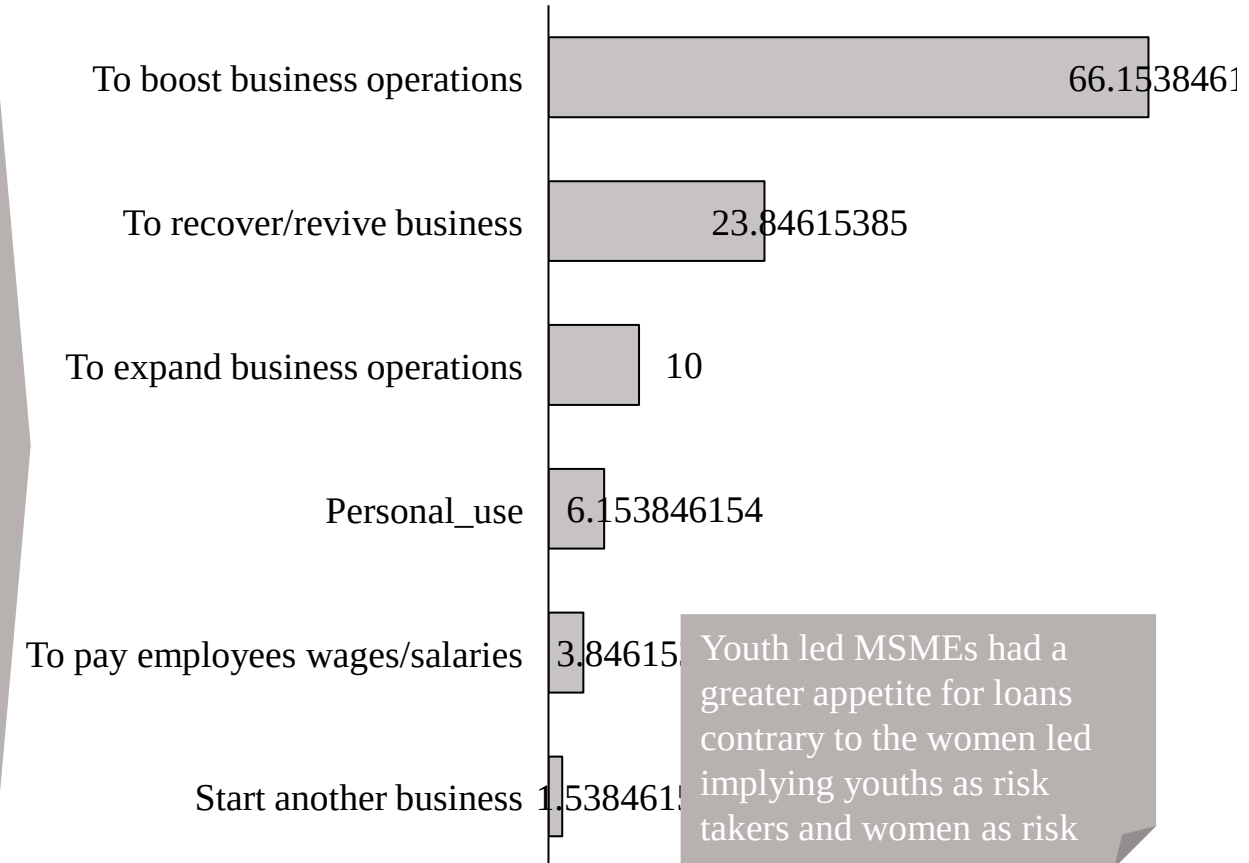
Businesses that procured loan during COVID period

Proportion of MSMEs that took loan by type of business leadership



Reasons for taking loan during COVID period

Proportion of businesses by loan utility



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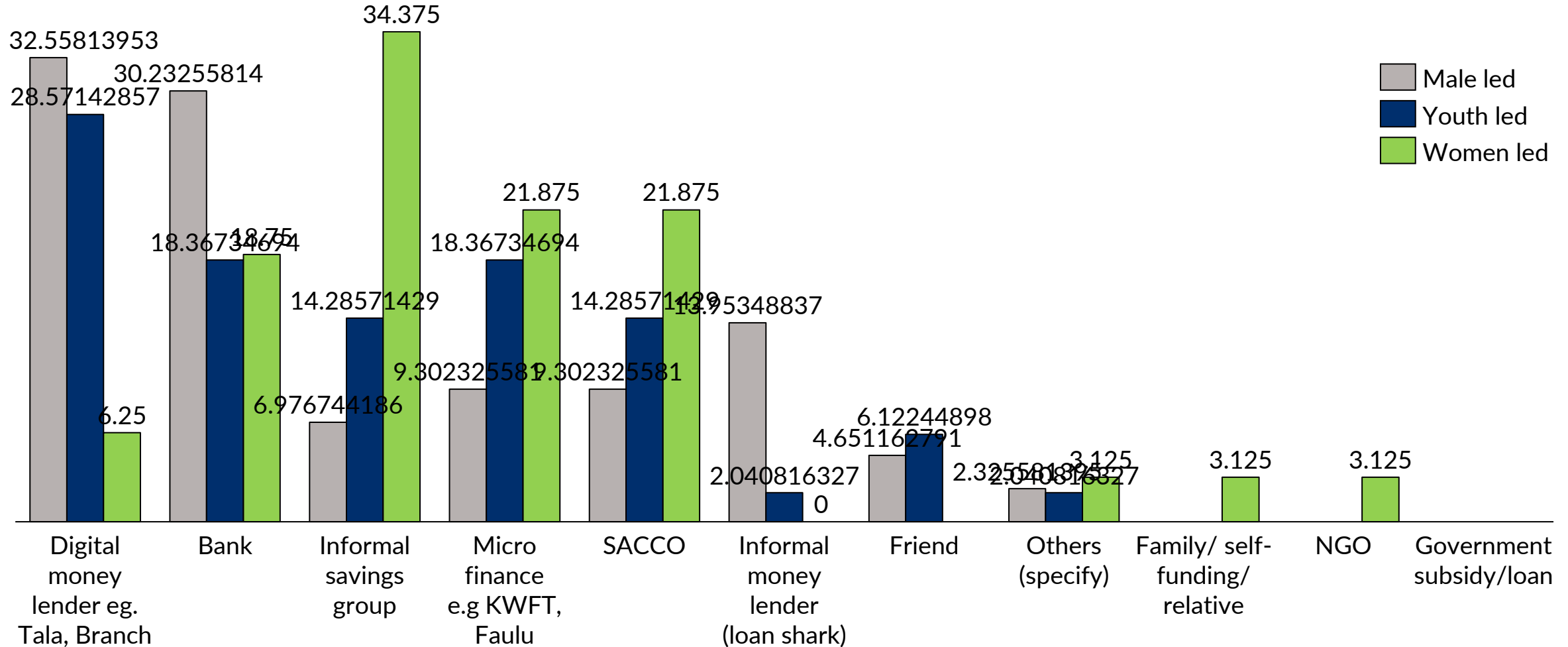


Micro and Small Enterprises
Authority (MSEA)

Whereby women led MSMEs majorly took loans from informal savings groups while youth and male led businesses relied on digital lenders and bank for loans

Sources of loans during COVID-19

Proportion of MSMEs by type of business leadership and source of loan



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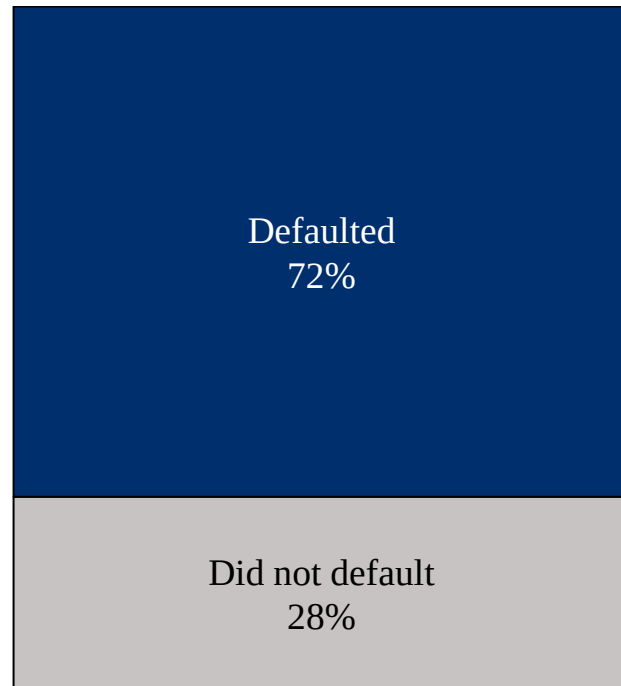


Micro and Small Enterprises Authority (MSEA)

On repayment of the loans, more youth and male led businesses defaulted on loan instalments as compared to women led MSMEs

Business loan instalments default during COVID period

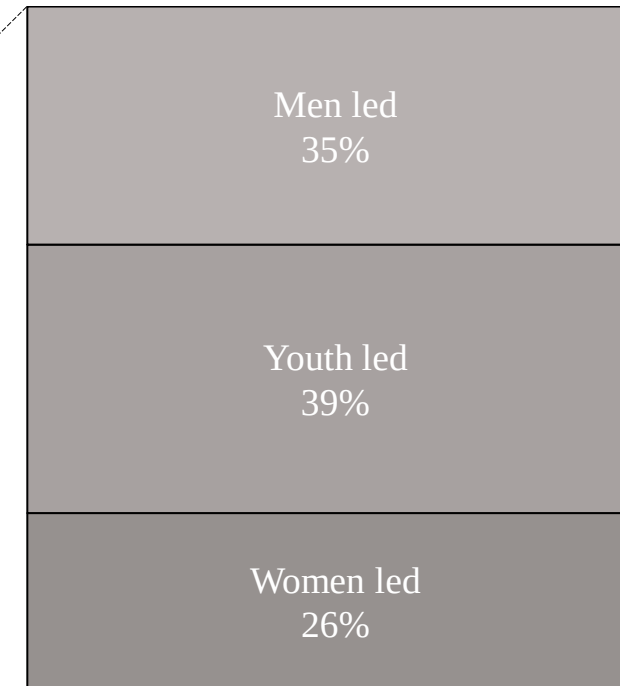
Proportion of MSMEs that defaulted on loan instalments



Defaulted loan instalments

MSMEs that defaulted loan by type of business leadership

Proportion of MSMEs that defaulted on loan by type of business leadership



Loan default by type of leadership

To sustain the repayment of loans during the covid period, a significant number of the businesses resulted to applying for a relief period (moratorium on repayments), organizing partial payments, or disposing of assets to ease the loan burden.



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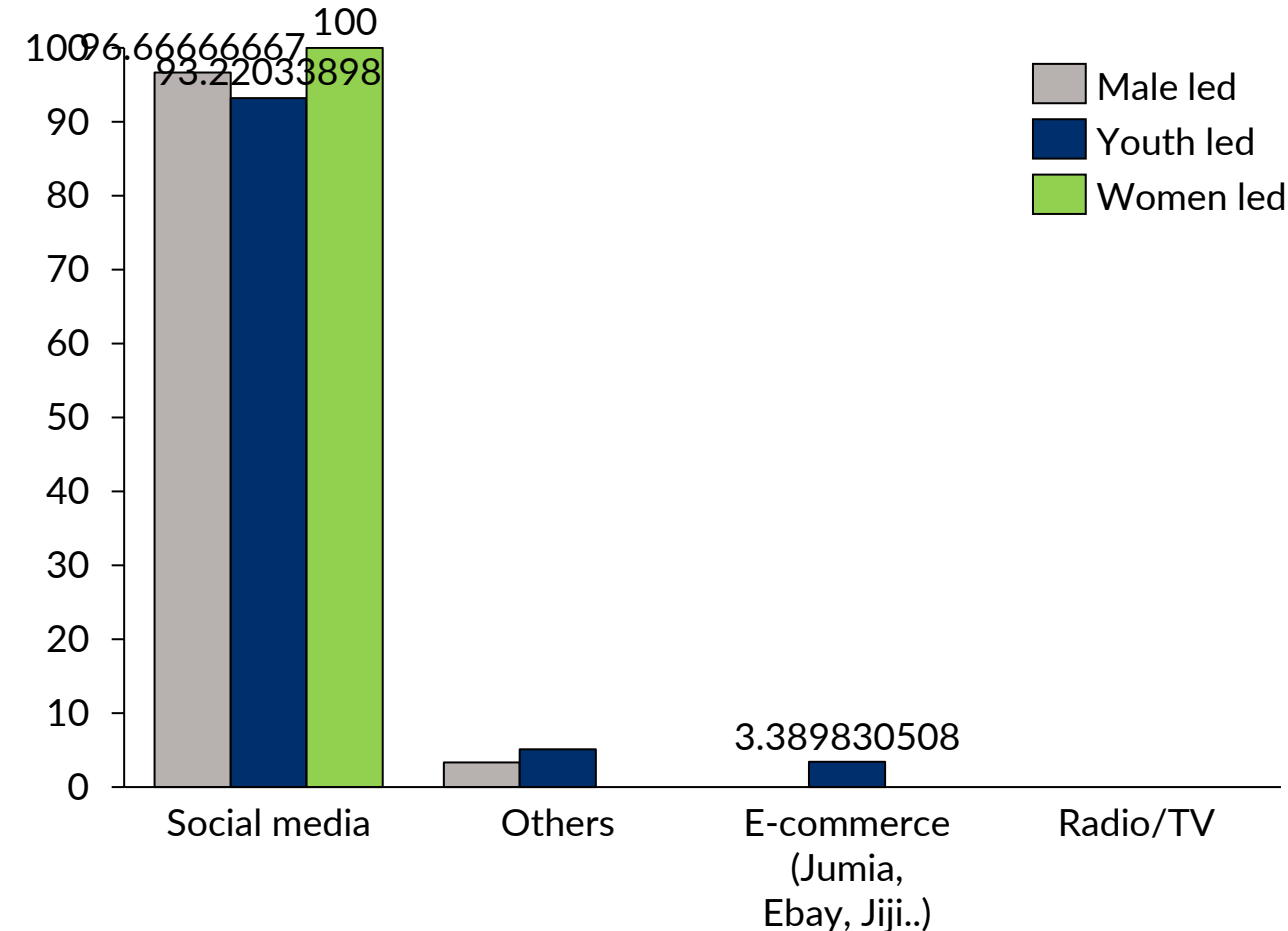


Micro and Small Enterprises
Authority (MSEA)

To keep MSMEs on the digital space, Mpesa services and social media dominate payment and marketing space across all types of businesses

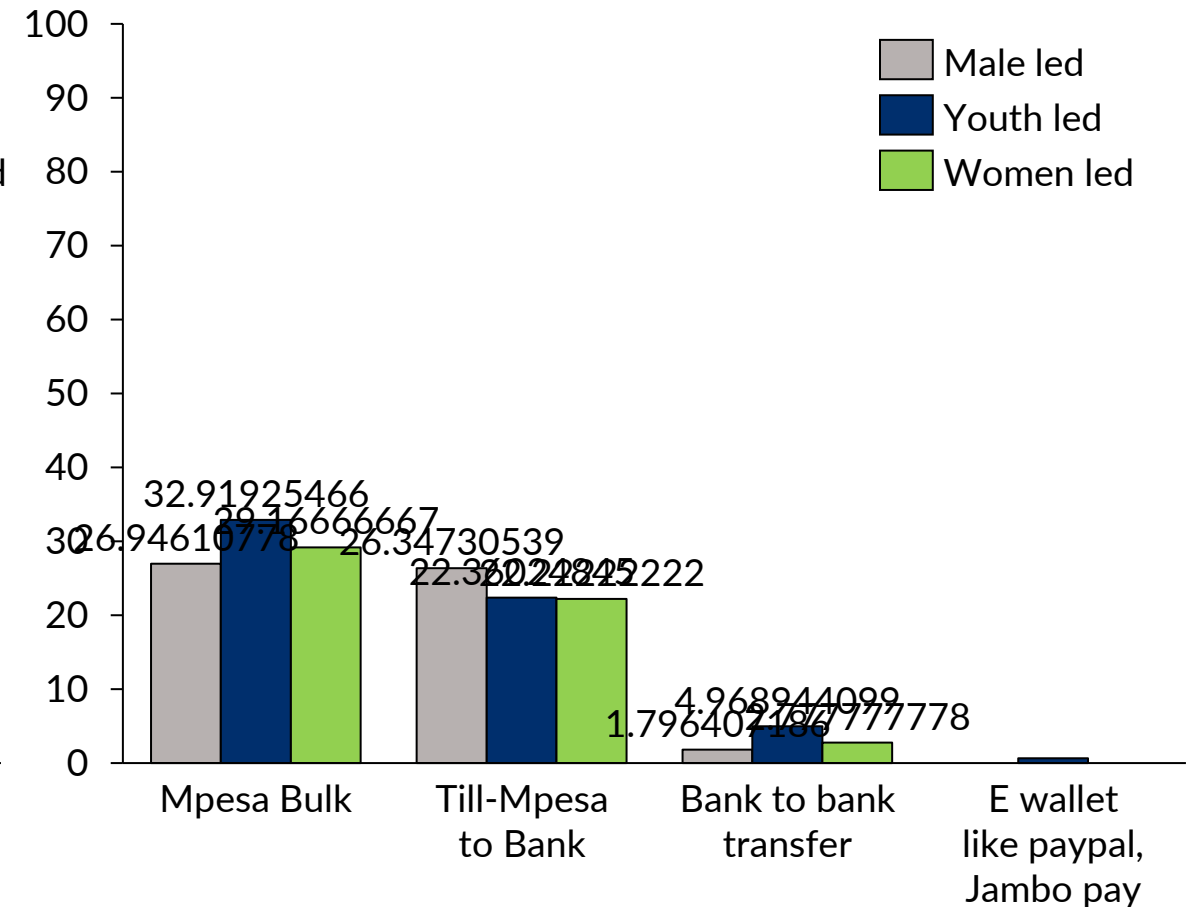
Marketing platforms

Proportion of MSMEs using digital marketing by the type of business leadership



Payment platforms

Proportion of MSMEs using digital payment by the type of business leadership



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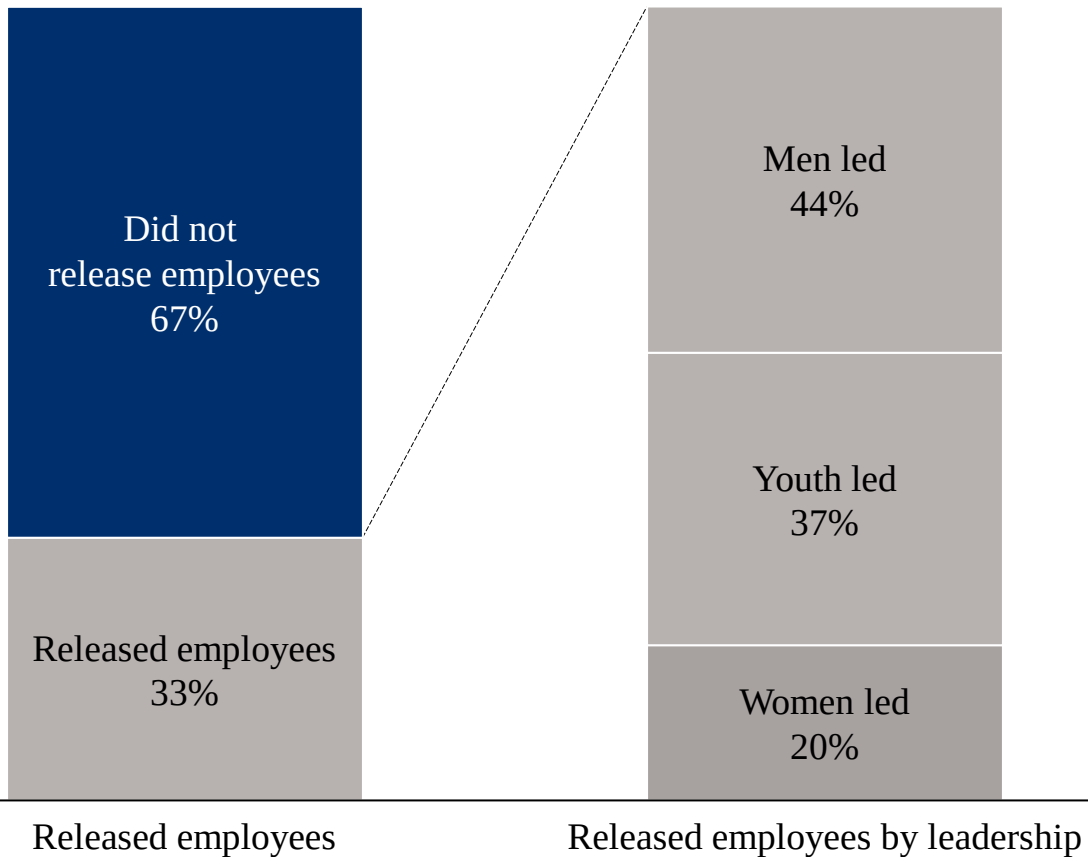


Micro and Small Enterprises
Authority (MSEA)

Moreover, as a measure to cut cost, a third of MSMEs had to release some employees with majority releasing up to to three employees

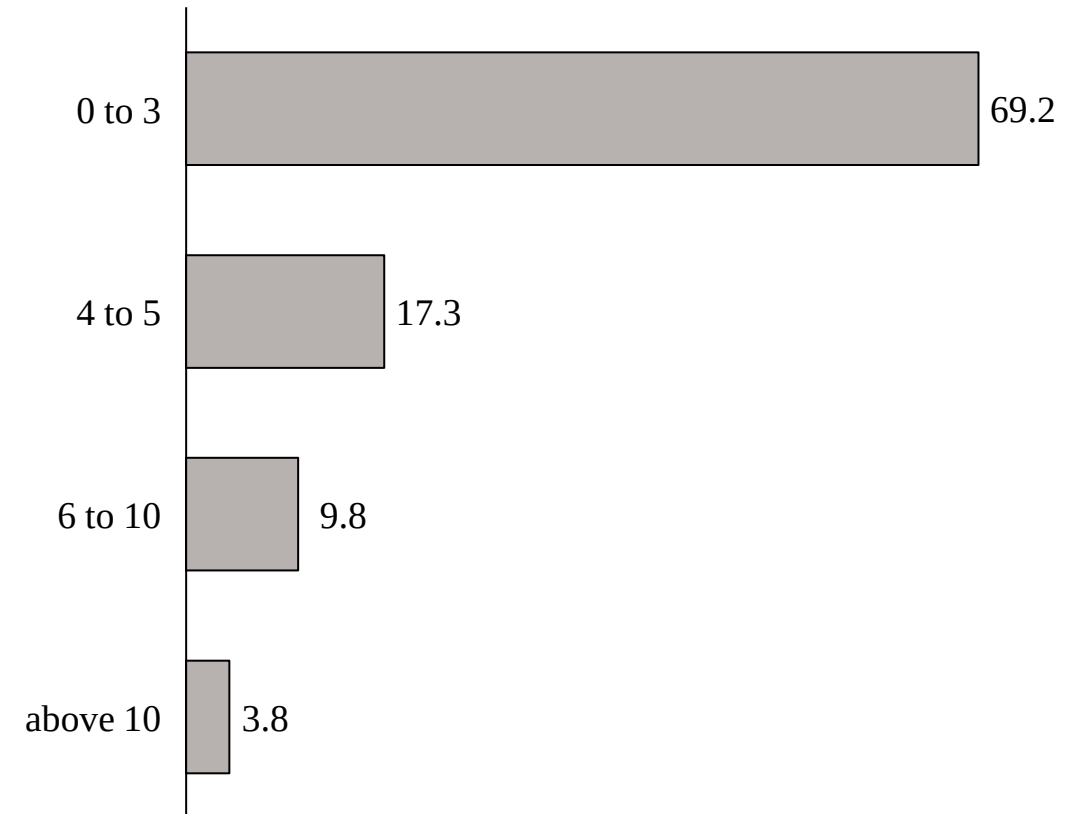
Businesses that released employee to reduce cost

Proportion of MSMEs that released employees



Number of employees released by MSMEs

Proportion of employees released by MSMEs



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Micro and Small Enterprises Authority (MSEA)

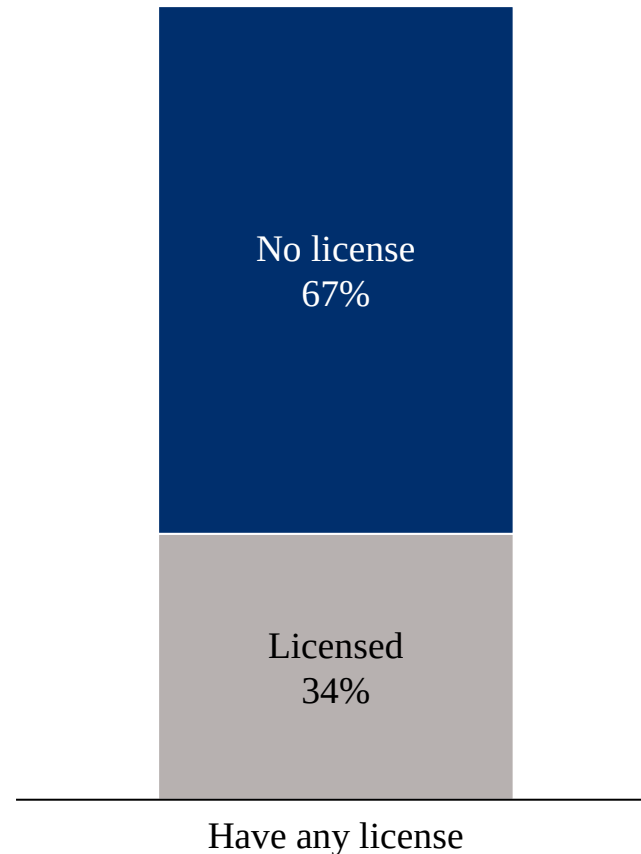
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34 per cent of the businesses had a trade license, the most common license was the county permit

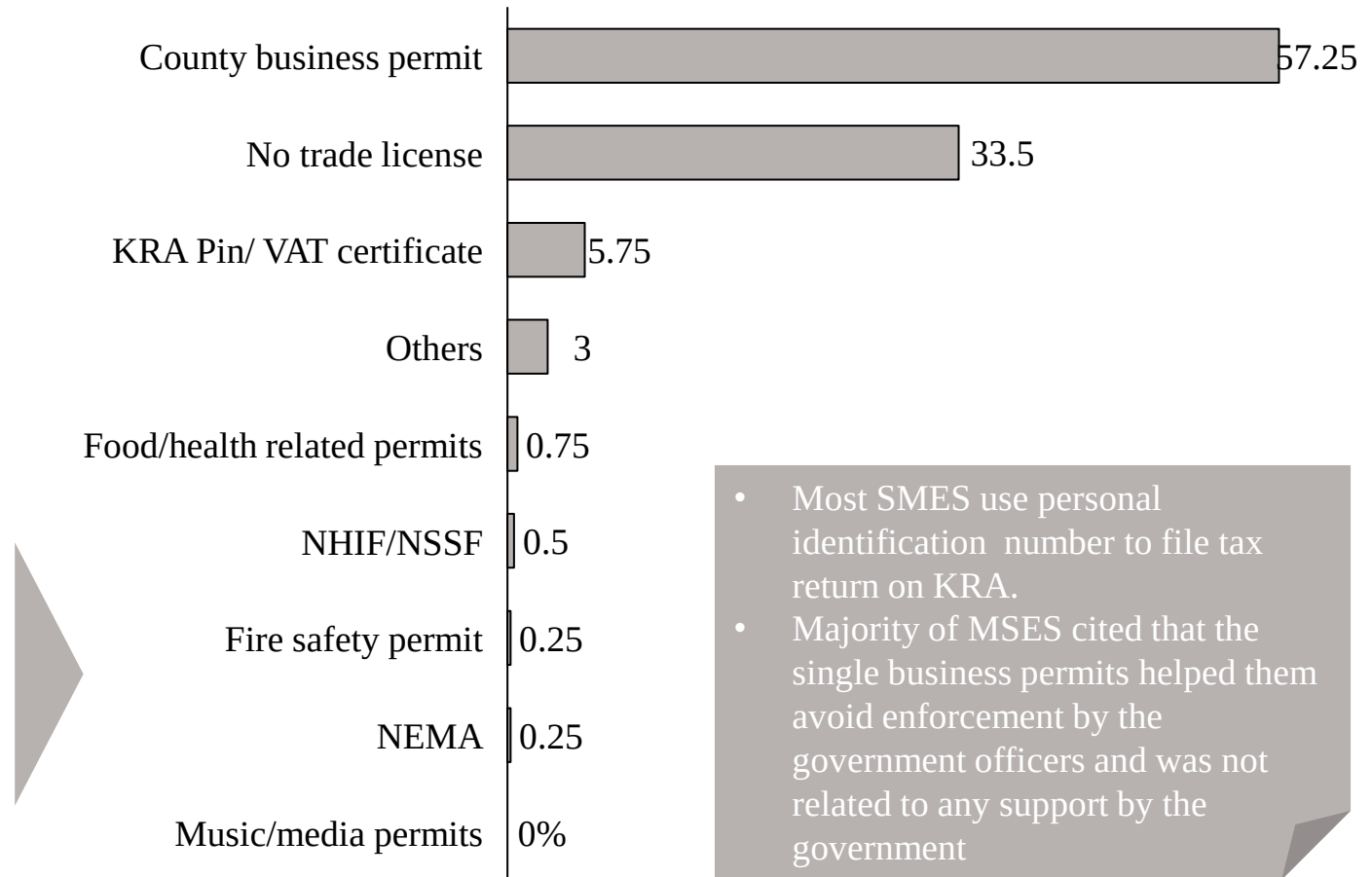
Businesses with trade license

Proportion of MSMEs that had a business license



Types of trade licenses acquired by MSMEs

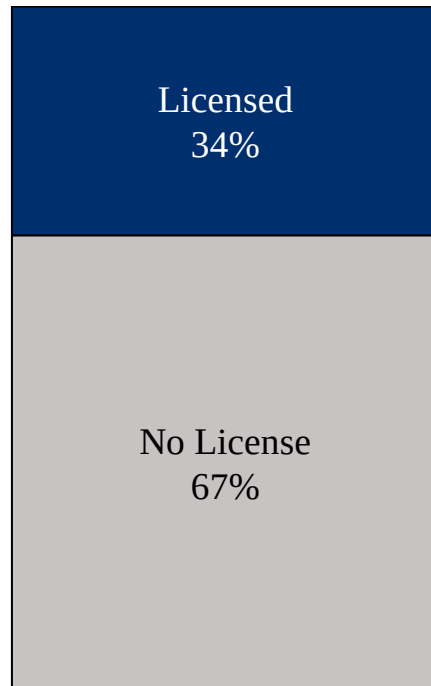
Proportion of MSMEs with different types of licenses



Amongst the businesses that did not have any form of trading license, close to half of them were led by the youths; majority did not receive any govt support

Businesses with trade license

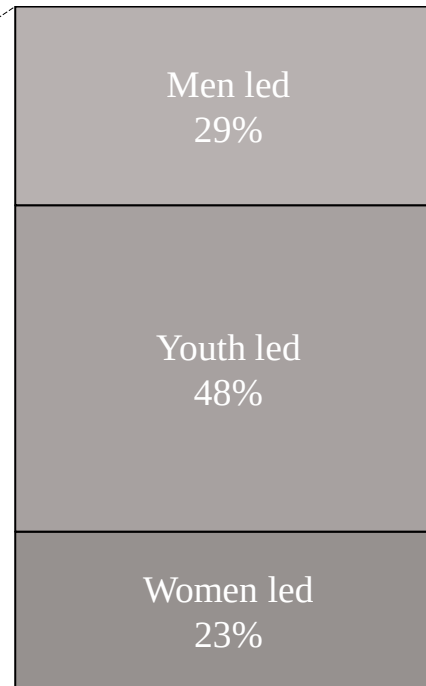
Proportion of MSMEs that had a business license



Licensed

Businesses with trade license by leadership

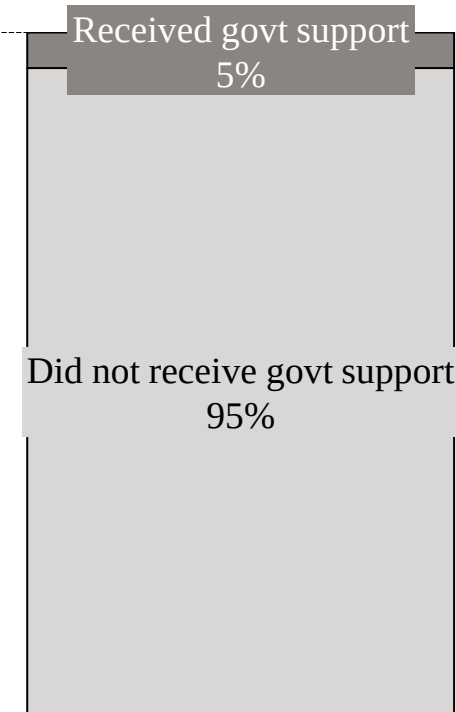
Proportion of MSMEs that had a business license by leadership



Licensed by type of leadership

Businesses with trade license by govt support

Proportion of MSMEs that did not have business license by government support



Received govt support

There exists an opportunity to convince youths to obtain relevant trading licenses in the move towards formalization to enable government support through formal structures



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Recommendations 1/3

ENABLING ENVIRONMENT

- a) **Develop business incubation and innovation centres;** policies should aim at growing MSEs to medium sized businesses, corporations and manufacturing industries, knowledge sharing through seminars and extension officers, and business learning labs to support monitoring growth and provide advisory to the government.
- b) **Work in collaboration with academic institutions and research organizations** to conduct need assessment which will act as a guide in designing trainings.

FINANCING AND GOVERNMENT SUPPORT

- a) **Targeted social protection and economic stimulation:** As the economy is recovering from the crisis, majority of the MSEs scaled down their operations by more than two times while others did not return to business. 46 per cent of the MSEs had closed business for more than a year. A few cases who had aborted the telephone interview claimed that's they converted to other temporary jobs like riding motorbikes "boda boda" which may not be sustainable in the future. Policies should be geared towards 1) short term recovery of lost businesses targeting growth-oriented enterprises, allocation of resources towards performing business 2) revival of firms that had a sustainable growth and operations before COVID-19 3) avoiding the risk of supporting businesses that would only survive if support was being provided to them.
- b) **Multi-lingual financial literacy trainings for MSMEs** would support business growth as majority of the businesses interviewed were micro businesses led by individuals who had attained either primary or secondary school education. 56 per cent of these MSEs had been in operations for the last 4-10 years.
- c) **Embrace learning from other working systems** like education loan, Older Persons Cash Transfer (OPCT) among others to develop support mechanism based on a social protection fund or low interest loans with minimized requirements on collaterals.
- d) **Advocate for innovative financing programmes to start-up businesses or accelerate business growth;** Grants from family and relatives forms majority of start-up businesses followed by loans from different organizations or groups.



Recommendations 2/3

CAPACITY BUILDING

- a) **Mapping of existing gaps in collaboration with all related organizations** especially the KRA, Kenya National Innovation Agency (KeNIA) and the county governments among others to set a roadmap or agenda towards closing the gaps and attaining targeted goals.
- b) **Digital transformation requires access to** services like electricity and network to propel online trading. Electricity and network coverage are highly concentrated in the densely populated regions along central, west, and coastal regions. Close to half of Kenyans have access to smartphones according to research done by multiple research organizations and agencies. These can be tapped to grow MSEs by for instance investing in the national digital infrastructure so as to expand public access to internet facilities.

EFFECTIVE SUPPORT STRATEGIES

- a) **Trade fair and exhibition;** marketing opportunities through trade exhibition at grassroot levels should be explored to increase market opportunities.
- b) **Target majority support;** within the COVID-19 period, the GoK implemented a package of tax measures. Only 5% of the MSEs had tax registration certificate implying that majority of the MSEs did not benefit with measures on tax by the GoK. Moreover, majority of the businesses that did not have any trade license did not receive any government support.



Recommendations 3/3

FORMALIZATION

- a) **Learnings from success in issuance of county trading license/ business permit** can be used to effect policies aimed at devolving taxation to county level which would help the government increase tax base at the same time visibility of business landscape
- b) **Articulate messaging;** MSEA and other key organizations have initiated discussions on formalizing MSEs aiming at expanding access to government services and support. These efforts require articulate messaging on its benefits to the businesses like access to the government tenders and direct support among others.
- c) **Targeted behavioral interventions;** behavioral science experiments have contributed to success the health sector and awareness and most recently in promoting COVID-19 vaccine uptake. Such experiments can be designed to help understand hesitancy to formalization and devise behavioral interventions.
- d) Previous financial access studies have found out that 30% of households in Kenya exist in an informal group. Targeting groups such as informal savings groups, business communities and such alike as a means of formalization would advance access of members and the formalization agenda.

